

EVG1025 - Victor & Lena Brennan-Ochoa - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Victor M. Brennan-Ochoa (XXX-XX-5590) / Lena K. Brennan-Ochoa (XXX-XX-2874)
Address	5127 Bayou Laurel Ln, Houston, TX 77019
Filing status	Married filing jointly
Dependents	None
Digital assets question	No
Forms included	1040, Schedules 2, 3, B (Part III: Yes - Ireland), D, Form 8949, Form 8960, Form 5471 (Cat 4/5), Form 8992, Form 8993, Form 8938, section 962 election statement + pro-forma 1118/1120, IRC 356 and IRC 1259 statements, copy of Form 1042-S. Separately: FinCEN 114 (BSA E-Filing)
Extension	Form 4868 filed 04/14/2026 with \$25,000 payment
State	None - Texas has no individual income tax
Filing method	PAPER - Form 1042-S withholding claimed; mailed 09/24/2026 by certified mail to the IRS address for Texas filers per the Form 1040 'Where To File' table; balance due paid by IRS Direct Pay 09/24/2026

Key figures	Amount
Total income (1040 line 9)	608,850
Adjusted gross income (line 11)	608,850
Deduction (line 12e) - Standard	31,500
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	577,350
Total tax (line 24)	102,877
Total payments (line 33)	100,600
BALANCE DUE (line 37 + 38)	2,277

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	180,000
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	180,000
2a	Tax-exempt interest	0
2b	Taxable interest	1,850
3a	Qualified dividends	12,000
3b	Ordinary dividends	12,000
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	415,000
8	Additional income from Schedule 1, line 10	0
9	Total income	608,850
10	Adjustments to income from Schedule 1, line 26	0
11	Adjusted gross income	608,850
12e	Standard deduction or itemized deductions (Standard)	31,500
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	31,500
15	Taxable income	577,350
16	Tax (incl. Section 962 election tax (Ochoa Engineering Ltd.) - statement attached)	89,241
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	89,241
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	0
22	Subtract line 21 from line 18	89,241
23	Other taxes, including self-employment tax, from Schedule 2, line 21	13,636
24	Total tax	102,877
25a	Federal income tax withheld - Form(s) W-2	32,000
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	3,600
25d	Total withholding	35,600
26	2025 estimated tax payments and amount applied from 2024 return	40,000
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	25,000
32	Total other payments and refundable credits	25,000
33	Total payments	100,600
34	Amount overpaid	0
35a	Refund	0
37	Amount you owe	2,277
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Bayou City Bank	1,850
2	Total interest	1,850
4	Taxable interest (to Form 1040, line 2b)	1,850
5.1	Atlas Clearing Corp. - reported on Form 1042-S (income code 06; U.S. citizen - see statement)	12,000
6	Ordinary dividends (to Form 1040, line 3b)	12,000
7a	Foreign financial account at any time in 2025? / FBAR required?	Yes / Yes
7b	Country	Ireland
8	Grantor of / transferor to a foreign trust?	No

Form 8949 (Box E)

Line	Description	Amount
1	Gulf Coast Dental Labs, Inc. 1,800 sh - cash boot in IRC 368(a)(1)(A) merger into Meridian; gain recognized = lesser of boot 300,000 or realized gain 1,000,000 (IRC 356(a)(1)); statement attached acq 03/15/2012 sold 06/20/2025 proceeds 300,000 basis 0 code adj 0	300,000

Form 8949 (Box F)

Line	Description	Amount
2	VBO Holdings, Inc. 1,000 sh - complete liquidation (IRC 331) - 1099-DIV box 9 acq 05/09/2016 sold 11/14/2025 proceeds 85,000 basis 120,000 code adj 0	(35,000)
3	Meridian Dental Holdings 2,000 sh - CONSTRUCTIVE SALE (IRC 1259) - short against the box 12/10/2025 @ \$95; holding period includes GCDL (2012) acq 03/15/2012 sold 12/10/2025 proceeds 190,000 basis 40,000 code adj 0	150,000

Schedule D

Line	Description	Amount
7	Net short-term capital gain or (loss)	0
LT box E	Long-term from Form 8949 box E (proceeds 300,000; cost 0; adj 0)	300,000
LT box F	Long-term from Form 8949 box F (proceeds 275,000; cost 160,000; adj 0)	115,000
15	Net long-term capital gain or (loss)	415,000
16	Combine lines 7 and 15	415,000

Itemized vs. standard comparison (Schedule A not filed)

Line	Description	Amount
1	Medical and dental expenses	0
3	7.5% of AGI	45,664
4	Deductible medical	0
5a	State and local income taxes	0
5b	State and local real estate taxes	14,800
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	14,800
5e	Smaller of line 5d or SALT limit (\$10,000 after MAGI phase-down)	10,000
7	Total taxes	10,000
8a	Home mortgage interest and points reported on Form 1098	9,613
8e	Add lines 8a through 8c	9,613
10	Total interest	9,613
11	Gifts by cash or check	6,000
12	Other than by cash or check	0
14	Total gifts to charity	6,000
17	Total itemized deductions	25,613

Line 16 statement

Line	Description	Amount
Section 962 election	Section 962 election (Digital Engineering Ltd.) statement attached	2,286
regular	Regular tax on taxable income (tax table / worksheets)	86,955

Form 8960

Line	Description	Amount
8	Total investment income	428,850
12	Net investment income	428,850
13-16	MAGI 608,850 over threshold 250,000	358,850
17	Net investment income tax	13,636

Schedule 2

Line	Description	Amount
12	Net investment income tax (Form 8960)	13,636
21	Total other taxes (to Form 1040, line 23)	13,636

Schedule 3

Line	Description	Amount
10	Amount paid with request for extension to file (Form 4868)	25,000
15	Total other payments and refundable credits (to Form 1040, line 31)	25,000

Section 962 election - statement and computation

Section 962 election - tax computation (Reg. 1.962-1; election statement per Reg. 1.962-2)	Amount
Tested income - Ochoa Engineering Ltd. (CFC, 100%)	400,000
Less 10% of QBAI (\$0)	0
GILTI inclusion - Form 8992 (not included in AGI under the 962 election)	400,000
Section 78 gross-up (tested foreign income taxes x inclusion %)	57,143
Total section 962 income	457,143
Section 250 deduction (50% for 2025) - Form 8993	(228,572)
Taxable at corporate rate	228,572
Tax at 21%	48,000
Deemed-paid credit IRC 960(d): 80% x 57,143 (pro-forma Form 1118, GILTI basket; limitation 48,000)	(45,714)
Section 962 tax - included on Form 1040 line 16 (see Line 16 statement)	2,286
Comparison - no election: income tax on TI + 400,000 GILTI at individual rates	214,632
Comparison - with election: line 16 (regular tax + 962 tax)	89,241
Federal income tax saved by the election (before NIIT)	125,391
Presentation assumption: 962 tax reported on line 16 with an attached statement and the 951A inclusion excluded from AGI - verify against the current Form 1040 line 16 instructions	
Future distributions of this PTEP: taxable under IRC 962(d) to the extent they exceed the 962 tax paid	

International forms summary

International information returns attached to Form 1040	Detail
Form 5471 - Ochoa Engineering Ltd. (Categories 4 and 5)	Schedules C, E, F, H, I-1, J, P, Q, R, M; Victor 100%
Form 8992 - GILTI (Schedule A)	Net CFC tested income 400,000
Form 8993 - section 250 deduction	228,572 (computed for the 962 election)
Pro-forma Form 1118 / Form 1120 computations	Attached as part of the 962 statement (not separately filed)
Form 926	Not required - no transfers to the CFC in 2025
Form 8938 (MFJ living in U.S.: > \$100,000 year end / > \$150,000 any time)	Required - stock of Ochoa Engineering Ltd. (excepted - reported on Form 5471, Part IV: 1 Form 5471)
Schedule B Part III	Line 7a Yes (financial interest via > 50% owned company + signature authority); 7b Ireland

FBAR summary

FinCEN Form 114 (FBAR) 2025 - filed separately via BSA E-Filing	Detail
Filer	Victor M. Brennan-Ochoa
Account	Allied Irish Banks plc, Cork - business current ****4471 (owned by Ochoa Engineering Ltd.)
Basis for filing	Financial interest (owns > 50% of the account owner, 31 CFR 1010.350(e)(2)(ii)) and signature authority
Maximum value	EUR 310,000 - converted at the Treasury 12/31/2025 reporting rate (verify published rate)
Due	04/15/2026, automatic extension to 10/15/2026

FinCEN Form 114 (FBAR) 2025 - filed separately via BSA E-Filing	Detail
Prior years 2022-2024	Not filed by prior preparer - delinquent FBAR submission procedures recommended (separate engagement)

IRC 356 reorganization statement

IRC 356 statement - Gulf Coast Dental Labs / Meridian merger (Lena)	Amount
Meridian stock received (10,000 sh x \$90)	900,000
Cash boot received	300,000
Amount realized	1,200,000
Basis of GCDL stock surrendered (2012)	200,000
Gain realized	1,000,000
Gain recognized = lesser of boot or realized gain (LTCG - Clark: no dividend equivalence; Lena's 18% interest became < 1% of Meridian - hypothetical redemption is not essentially equivalent to a dividend)	300,000
Basis of Meridian stock: 200,000 - 300,000 cash + 300,000 gain	200,000
Per share (\$ / 10,000 sh)	20
Holding period of Meridian shares tacks to 03/15/2012	

IRC 1259 constructive sale statement

IRC 1259 constructive sale statement (Lena - Meridian, short against the box)	Amount
Short sale 12/10/2025: 2,000 sh x \$95 (deemed sale of 2,000 long shares at FMV)	190,000
Basis of 2,000 long shares (\$20/sh)	40,000
Long-term gain recognized in 2025 (no 1099-B)	150,000
Exception IRC 1259(c)(3) not met - short not closed within 30 days after year end (closed 03/15/2026)	
New basis of the 2,000 shares \$95 (\$190,000); new holding period from 12/10/2025 - 2026 1099-B will show unknown basis: report basis 190,000 (code B) so the 150,000 is not taxed twice	

Form 1042-S withholding statement

Form 1042-S (Atlas Clearing) - U.S. citizen recipient	Amount
Income code 06 dividends - included on Schedule B / line 3b (qualified: shares held since 2019)	12,000
Chapter 3 withholding 30% - credited on Form 1040 line 25c (copy of 1042-S attached)	3,600
Cause: stale 2017 Form W-8BEN; Form W-9 provided to Atlas 03/18/2026	
Filing method: PAPER (software cannot e-file a 1040 claiming Form 1042-S withholding)	